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Timber Market Survey

June quarter 2020



About the Timber Market Survey

The quarterly Timber Market Survey (TMS) report presents Australian timber price movement data collected through the quarterly surveying of a representative range of timber product traders in eastern Australia. The TMS collects data on the movement in buying price of a wide range of timber products purchased and stocked by survey participants. Price movement data is presented in nominal terms unless otherwise stated. All TMS reports contain price trend results for softwood timber, panels and engineered wood products. In addition, the June and December quarter reports contain price trend information for a range of hardwood products. Note: Price changes in this report are based solely on TMS survey data; individuals may experience different price movements in their own markets.

Key messages

Quarterly price movements - for softwood products

- » Downward price movements for untreated structural MGP products ranged between -2.2% and -1.1%.
- » Downward price movements for treated decking and sleeper products ranged between -1.7% and -0.2%.
- » Upward price movements for most panel products ranged between 1.0% and 1.8%.
- » Mixed price movements for engineered wood products, ranged between -5.7% to 0.8%.

Six monthly price movements - for hardwood products

- » Upward price movements for most structural hardwood products ranged between 0.5% and 4.2%.
- » Upward price movements for most hardwood flooring products ranged between 0.9% and 4.7%.

COVID-19 Pandemic - update

Anecdotal accounts from TMS participants indicate the trend of increased sales volumes within some landscape and DIY timber markets has continued in the June quarter 2020.

A subset of businesses catering to these markets reported sales volume increases of between 15% to 20% (on average) over the June quarter, while at the same time a large proportion of TMS participants reported minimal change to sales volumes over the period.

Businesses that saw a decrease in sales volumes have reported average declines of between 10% to 15%. Reporting on COVID-19 impacts by Frame and Truss businesses was mixed, with some participants reporting minimal change, while others - particularly in Queensland - reported significant decreases, down to -30% in some cases.

While it is evident that a high degree of uncertainty remains, the majority of TMS participants anticipate reductions or further reductions to sales volumes in the September quarter 2020.

The TMS will continue to monitor COVID-19 impacts on TMS trends throughout the duration of the pandemic

Note: Feedback received from TMS participants does not take account of the further and more limiting COVID-19 related restrictions (i.e. Stage 4) that came into force in Victoria after the June quarter data collection period.

Softwood price changes - June quarter 2020

Structural softwood timber

Prices for untreated structural MGP10 and MGP12 timber products declined in the June quarter 2020 (Table 1). Price movements for MGP10 products ranged between -2.2% and -2.0% and price movements for MGP12 products ranged between -1.9% and -1.1%.

Price movements for treated F7 structural timber ranged from

Table 1: Structural softwood timber - nominal price changes to June quarter 2020

Product	Dimension (mm*)	12 months to Jun-20	3 months to Jun-20
MGP 10	70 x 35 x 4.8m	↓ 2.89%	↓ 2.18%
MGP 10	90 x 35 x 4.8m	↓ 2.90%	↓ 2.00%
MGP 12	70 x 35 x 4.8m	↓ 3.22%	↓ 1.90%
MGP 12	90 x 35 x 4.8m	↓ 2.71%	↓ 1.10%
F7 - H3 treated	70 x 35 x 4.8m	↓ 2.00%	↓ 0.02%
F7 - H3 treated	90 x 45 x 4.8m	↓ 1.23%	↑ 0.64%

Source: Timber Market Survey
* unless otherwise stated

Softwood price changes – June quarter 2020 *continued*

remaining relatively stable to nominal increases of up to 0.6%.

Nominal prices for all structural softwood timber products shown in Table 1 were between -3.2% and -1.2% lower than 12 months ago.

Outdoor softwood timber

Prices for treated decking and sleeper products declined over the June quarter (Table 2). Treated decking prices decreased by 1.7%, while price movements for treated sleeper prices were more marginal, declining by 0.2%.

Prices for both products were between -2.8% and -1.5% lower (in nominal terms) than 12 months ago.

Table 2: Outdoor softwood timber - nominal price changes to June quarter 2020

Product	Dimension (mm*)	12 months to Jun-20	3 months to Jun-20
Treated decking	90 x 20	↓ 2.80%	↓ 1.71%
Treated sleepers	200 x 75 x 2.4m	↓ 1.49%	↓ 0.16%

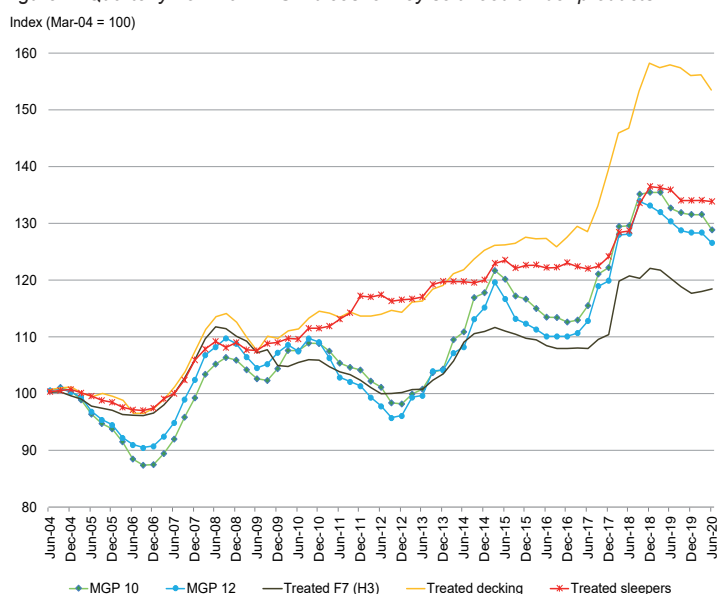
Source: Timber Market Survey
* unless otherwise stated

Historic structural and outdoor timber product indices

TMS indices for untreated structural MGP products have followed a downward trend since the start of 2019 (Figure 1). This declining trend - like most others before it - is largely attributed to softening in housing construction markets across parts of the eastern seaboard states.

The impacts of the COVID-19 pandemic are expected to further compound the slowdown in residential construction markets, although the extent and duration of COVID-19 impacts on the

Figure 1. Quarterly nominal TMS indices for key softwood timber products



Source: Timber Market Survey. The reported price movements are based on weighted average price changes across Victoria, New South Wales and Queensland using TMS State Weightings of 41%, 32% and 27% respectively. Multi-state price movements may comprise all three or only two surveyed state results. Note: MGP10, MGP12 and treated F7 indices are derived by combining price movements from two similar product dimensions. Each product index is weighted as follows: 40% applied to 70mm x 35mm x 4.8m products and 60% applied to 90mm x 35mm x 4.8m products.

construction sector, as well as any impacts on structural timber imports, are less clear.

At the end of the June quarter 2020, the MGP10 index was 6.6 index points lower than its peak level set at the end of 2018, while the MGP12 index was 7.4 index points below its peak level set in the September quarter of 2018.

TMS indices for outdoor timber products have also followed a declining trend since 2019. The treated decking index has fallen 4.7 index points over the last 18 months to June 2020, while the treated sleeper index has fallen 2.4 index points.

Panel products

The June quarter TMS has shown upward price movements across the entire panel products range (Table 3). Price movements for particleboard products ranged from remaining relatively stable to 1.3% higher, while price movements for MDF products were up to 1.5% higher. Plywood C/D grade prices were between 1.0% and 1.8% higher over the quarter.

Nominal prices for all panel products remained higher than 12 months ago, with plywood products showing the most price growth over the period.

Table 3: Panel products - nominal price changes to June quarter 2020

Product	Dimension (mm)	12 months to Jun-20	3 months to Jun-20
Plywood C/D Grade	2400 x 1200 x 12	↑ 5.62%	↑ 0.97%
Plywood C/D Grade	2400 x 1200 x 17	↑ 4.63%	↑ 1.79%
Particleboard T&G	3600 x 900 x 19	↑ 1.53%	↑ 0.05%
Particleboard T&G	3600 x 900 x 22	↑ 0.26%	↑ 1.32%
MDF	2400 x 1200 x 16	↑ 2.75%	↑ 1.48%
MDF	2400 x 1200 x 18	↑ 2.41%	↑ 1.35%

Source: Timber Market Survey

Multi-state price movements may comprise all three or only two surveyed state results

Untreated MGP prices decline in the June quarter 2020

Engineered wood products

June quarter price movements for engineered wood products were mixed (Table 4). Prices for LVL products moved upwards by less than 1.0%, while prices for I-joist and I-beam products declined sharply, with price movements ranging between -5.7% and -3.3%.

Nominal prices for all engineered wood products were between -6.1% and -1.2% lower than 12 months ago.

Table 4: Engineered wood products - nominal price changes to June quarter 2020

Product	Dimension (mm)	12 months to Jun-20	3 months to Jun-20
I-joist/I-beam	240 x 47	↓ 4.21%	↓ 3.31%
I-joist/I-beam	300 x 63	↓ 6.08%	↓ 5.74%
LVL	200 x 36	↓ 1.16%	↑ 0.64%
LVL	300 x 45	↓ 2.04%	↑ 0.75%

Source: Timber Market Survey

Multi-state price movements may comprise all three or only two surveyed state results

Softwood price changes – June quarter 2020 *continued*

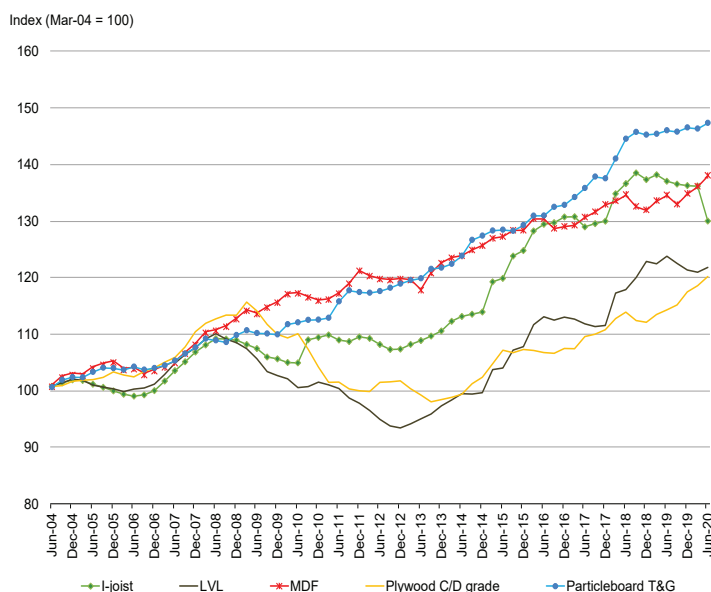
Historic panel and engineered wood product indices

At the end of the June quarter 2020, all TMS panel indices were at their highest index level (Figure 2). Since the start of 2019, the plywood C/D grade index has had an 18 month run of consecutive upward movements. This trend of uninterrupted growth has added 8 points to the plywood index, which reached a peak level of 120 points in June 2020.

The MDF index has increased by 6 points over the same 18 month period to reach its peak level of 138 index points. Compared to other panel products, the particleboard T&G index has seen more moderate growth since 2019; increasing by only 2 points over this time to reach a peak level of 147 index points.

In contrast to panel product indices, engineered I-joist and LVL indices have trended downwards since the beginning of 2019. The I-joist index declined by 8 points to become 130 index points at the end of the June quarter 2020. The LVL index has seen a lesser decline, falling by only 2 index points in the 12 months to June 2020 to become 122 points.

Figure 2. Quarterly nominal TMS indices for key panel products and engineered wood products



Source: Timber Market Survey. The reported price movements are based on weighted average price changes across Victoria, New South Wales and Queensland using TMS State Weightings of 41%, 32% and 27% respectively. Multi-state price movements may comprise all three or only two surveyed state results. Each product index is calculated using a simple average of two sampled product dimensions.

Hardwood flooring prices increase in the first half of 2020

Hardwood price changes – six months to June 2020

Structural hardwood timber

Prices for the majority of kiln dried structural products increased over the six months to the end of the June 2020 (Table 5). The exception to this was higher strength grade F27 products, which showed a moderate downward price movement of -0.7%. Upward price movements for F17 grade products ranged between 1.6% and 4.2%.

Prices for green sawn F11 grade structural timber from NSW increased by 0.5%, while F8 grade timber from Victoria remained stable.

Table 5: Structural hardwood timber products - nominal price changes to June 2020

Product	Dimension (mm ³)	12 months to Jun-20	6 months to Jun-20
Kiln dried (KD) structural timber			
F17	90 x 45 x 4.8m	↑ 1.85%	↑ 1.64%
F17	90 x 45 x 2.4/2.7m	↑ 1.73%	↑ 1.55%
F17	190 x 45 x 4.8m [^]	↑ 4.17%	↑ 4.18%
F27	90 x 35 x 4.8m	↓ 0.72%	↓ 0.72%
Green timber			
F8 (Victoria)	150 x 38 x 5.4m	0.00%	0.00%
F11 (NSW)	100 x 50 x 4.8m	↑ 2.72%	↑ 0.53%

Source: Timber Market Survey. The reported price movements for kiln dried product grades are based on weighted average price changes across Victoria, New South Wales and Queensland using TMS State Weightings of 40%, 38% and 22% respectively. Multi-state price movements may comprise all three or only two surveyed state results.

[^] Victorian price movement – three state result not available

* Unless otherwise stated

Hardwood flooring products

Price movements for southern species hardwood flooring products were up to 0.9% higher in the case of Tasmanian oak flooring and up to 3.0% higher for Victorian ash flooring (Table 6).

Prices for northern species flooring products showed stronger upward movements, with Spotted gum flooring prices increasing by up to 4.0% and Blackbutt flooring prices increasing by up to 4.7%.

TMS survey data shows nominal prices for all flooring products in Table 6 were between 2.0% and 6.3% higher than 12 months ago.

Table 6: Hardwood flooring products - nominal price changes to June 2020

Product	Dimension (mm)	12 months to Jun-20	6 months to Jun-20
Flooring products			
Vic ash – Select grade (Vic)	100 x 25	↑ 2.03%	↑ 2.03%
Vic ash – Standard grade (Vic)	100 x 25	↑ 2.95%	↑ 2.95%
Tasmanian oak – Select grade (Vic)	100 x 25	↑ 3.59%	↑ 0.86%
Tasmanian oak – Standard grade (Vic)	100 x 25	↑ 2.37%	↑ 0.15%
Blackbutt – Select grade	100 x 25	↑ 5.94%	↑ 4.51%
Blackbutt – Standard grade	100 x 25	↑ 6.25%	↑ 4.74%
Spotted gum – Select grade	100 x 25	↑ 3.98%	↑ 3.98%
Spotted gum – Standard grade	100 x 25	↑ 3.81%	↑ 3.34%

Source: Timber Market Survey. The reported price movements for Blackbutt and Spotted gum flooring are based on weighted average price changes across Victoria, New South Wales and Queensland using TMS State Weightings of 40%, 38% and 22% respectively. Multi-state price movements may comprise all three or only two surveyed state results.

Hardwood price changes – six months to June 2020 *continued*

Historic hardwood structural and flooring product indices

TMS hardwood flooring indices have generally shown consistent growth over the TMS monitoring period (Figure 3). Between 2008 and 2020, the Blackbutt flooring index has shown the most growth, increasing by 62 index points (162 total).

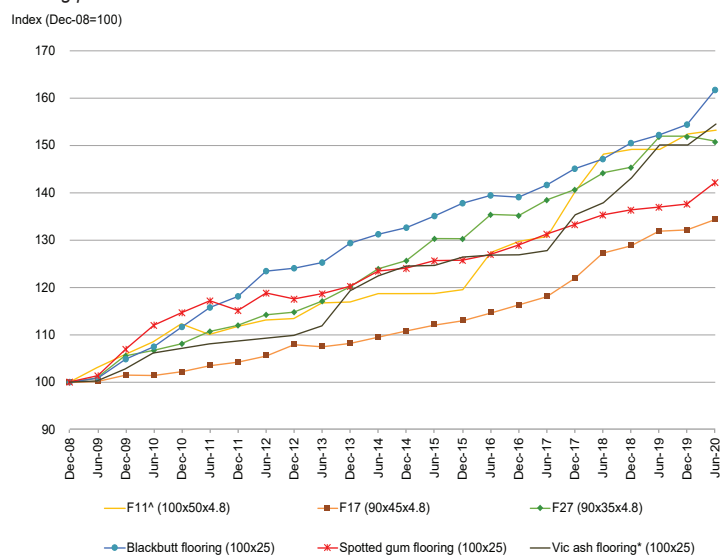
The Victorian ash flooring index has also followed a strong upward trend, supported by a period of more rapid growth that began in the latter part of 2017. At the end of June 2020, the Victorian ash index was at its peak level of 154 points; that is, a 54 index point increase over a 12-year period. The Spotted gum flooring index has followed a steadier growth trend overall to reach 142 index points in 2020.

The F17 index has increased by 34 points since TMS monitoring began. Like the trend for Victorian ash flooring, F17 structural products - of which Victorian ash is the main timber species group - have also shown a period of more rapid expansion since late 2017.

Notwithstanding the recent downturn in F27 product prices, the TMS index for these higher strength grade products has shown more growth compared to F17 products, increasing by 51 points over the past 12 years.

The green sawn F11 product (NSW) index has shown a similar level of index growth to that of kiln dried F27 products, reaching 153 index points at the end of June 2020.

Figure 3. Six monthly nominal TMS indices for selected hardwood structural and flooring products



Source: Timber Market Survey. The reported price movements for F17, F27, Blackbutt, Spotted gum and Victorian ash flooring are based on weighted average price changes across Victoria, New South Wales and Queensland using TMS State Weightings of 40%, 38% and 22% respectively. Multi-state price movements may comprise all three or only two surveyed state results. All flooring products are 'standard grade'.

[^]Reported price movements for F11 are based on NSW market prices only.

*Reported price movements for Victorian ash flooring since December 2018 are based on Victorian market prices only.

The Timber Market Survey is prepared by Indufor.

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